



GOVERNANCE

GOVERNANCE IN INDIA

MODULE - 2

REINVENTION: CONCEPT OF PUBLIC GOVERNANCE

1 The **redefined role of state** should be sustainable human development with inputs from the civil society and the private sector.

2 The sustainable human development will ensure the following:

a **Develop cooperation**, whereby everyone work together.

b Ensure sustainability, including the **concern of environment** for development.

c Empowerment of people, increasing the **opportunity for the people** to participate in governance and **decision making** process.

d Provide security, creating a safe, harmonious and **conductive environment** for living.

e Create **equity**, equal access to **public services** for all the citizens.



THE INDIAN STORY OF GOOD GOVERNANCE PRE AND POST 1991

- 1 After the **freedom struggle**, its leaders wanted to have a representative government which was answerable to the people, hence **constitutional democracy** was created.
- 2 Since the country was **still backward**, the state took upon all the activities on itself.
- 3 Even the **private sector** was **underdeveloped** due to **lack of patronisation** from the **British**. Hence, the only logical way forward during that initial period was to depend on the state to carry forward all the activities.



THE INDIAN STORY OF GOOD GOVERNANCE PRE AND POST 1991

- 4 The private sector and the civil society had no experience in governance process and they did not represent the diversified population in India, hence they were not taken on board.
- 5 The state became the guardian of all the activities concerning the citizens, one could experience state from the cradle to the grave.
- 6 The state was not able to manage such an enormous burden. It became inefficient and inept.
- 7 Moreover, the demon of corruption caught on and it further dragged down the state. This period was therefore called the license raj.



THE INDIAN STORY OF GOOD GOVERNANCE PRE AND POST 1991

8 The idea of state providing all services was taken more seriously by the later regimes.

9 It came to such an extent that the state tried to prevent entry of well-established private players in areas they specialized, the government thus created a system of getting licences which tend to be a mammoth task in itself and apart from this the officials had to have their palms greased in order to make the file move a bit faster. This system prevented growth and entry of private players.

10 Combined with such policies and bureaucratic red-tapism, the country went further back into debt and which finally culminated in the year 1991. when the country had to pledge its gold in order to avoid default.



THE INDIAN STORY OF GOOD GOVERNANCE PRE AND POST 1991

- 11 Such policy resulted in **balance of payment** crisis, increased the national debt and created numerous problems in the public sector.
- 12 This crisis was so severe that in order to **avert the same**, the Reserve Bank of India had to pledge its **gold reserve**, and the only way out for the country at that time was to bring in major reforms.
- 13 In order to **overcome** this crisis, it was understood that the State itself has to be **rolled back** (both power and role).
- 14 This was also the view of international institutions like the **World Bank** and **International Monetary Fund (IMF)**.



NEW ECONOMIC POLICY 1991

1 The new economic policy formulated in 1991 reduced the scope and role of the government.

2 The emphasis was laid on providing conditions wherein the public sector could function with competition from the private sector.

3 This was sought to be achieved by deregulating industries and liberalising foreign investments.

4 Presently the state has only a few strategic and key sectors under its control where the private players are not allowed, otherwise all other sectors have been liberalised and the state now functions parallel in competition with the private players.



ROLE OF STATE IN ERA OF GOOD GOVERNANCE

- 1 Though various theories and concepts such as the Public Choice approach, New Public Management, etc. call for a minimal government, the present understanding of 'good governance' reiterates the role of state in governance.
- 2 What needed is not lesser government but more governance that is the state should facilitate involvement of other participants into the act of government without itself going backstage.
- 3 Only a formal state can ensure that a representative government is taken up, and people from all sections of the society get their voice heard.
- 4 Thus, government cannot take a backstage, it should actively involve itself to ensure that the process of governance is carried out with equity and that underlying principles enshrined in the constitution be upheld



ROLE OF STATE IN ERA OF GOOD GOVERNANCE

The essentiality of the role of the state in the present era can be understood by the following functions bestowed upon the State:

1 Create a foundation of law based on which the private sector can play a pivotal role and help the government regulate such functions.

2 Ensure that the macro-economic stability is maintained for the purpose of attracting private sector investment because private sector cannot thrive when the economic conditions are fragile or unstable

3 Invest in creating social capital. Investments have to be made in the sectors of social services and infrastructure development because the private sector will not venture into such acts as they are motivated by profit.



ROLE OF STATE IN ERA OF GOOD GOVERNANCE

4 The government is run for the public good and hence they can carry forward such functions.

5 Moreover, investments in infrastructure involves huge cost and long gestation period for getting returns.

6 Hence, in order to attract effective investment in the economy, the state should first ensure that it has all proper infrastructure in place.

7 The state also needs to protect its vulnerable section.



ROLE OF STATE IN ERA OF GOOD GOVERNANCE

8 Not all the section of the society get representation by the private players, not all in the society have the ability or the power to make a choice, hence for all these disadvantaged sections of the society the government is the only hope for providing them means of livelihood.

9 This cannot be trusted with private sector, it can only be carried out by a representative and democratic government.

10 The present concern about sustainable development and protection of the environment can only be taken up by the state.



ROLE OF STATE IN ERA OF GOOD GOVERNANCE

11 The private sector will tend to overlook such aspects in pursuit of profit.

12 The natural resources are wealth of the people and the nation, it has to be protected by the state and should not be allowed to get destructed in pursuit of attaining development. Hence, sustainable development can be achieved when the state creates proper legal checks and balances.



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